

Week 3 MCQ

Banks' Role in Money Creation — MCQ Quiz

1. What percentage of the circulating money supply is cash (banknotes and coins)?
 - a) About 30%
 - b) About 3%
 - c) About 50%
 - d) About 97%
2. Which of the following is NOT a typical responsibility of the Bank of England?
 - a) Conduct of monetary policy
 - b) Supervisor of the banking system
 - c) Issuer of the national currency
 - d) Setting corporate tax rates
3. What is the definition of liquidity in the context of financial assets?
 - a) The profitability of an asset
 - b) The speed and convenience with which an asset can be converted into money
 - c) The interest rate earned on an asset
 - d) The size of an asset in monetary terms
4. Which of the following financial assets is typically the most liquid?
 - a) Corporate bonds
 - b) Mortgage-backed securities (MBS)
 - c) Government bonds
 - d) Commercial real estate
5. Which of the following is included in the narrow money (M0) definition?
 - a) Savings accounts
 - b) Time deposits
 - c) Reserve balances at the Bank of England
 - d) Repurchase agreements
6. Which of the following is included in broad money (M4) but not in narrow money (M1 or M0)?
 - a) Cash in circulation
 - b) Loans
 - c) Savings deposits and time deposits
 - d) Central bank reserves
7. On a typical bank's balance sheet, which of the following is considered a liability?
 - a) Loans
 - b) Securities
 - c) Deposits
 - d) Real estate
8. How do banks primarily create money?
 - a) By printing banknotes
 - b) By taking deposits from savers
 - c) By making loans
 - d) By selling securities

9. What happens to the money supply when a bank makes a loan?
- a) It decreases
 - b) It increases
 - c) It remains the same
 - d) It fluctuates randomly
10. What is the money multiplier?
- a) The total amount of money in the economy
 - b) The rate at which banks lend money
 - c) The number of times deposits can be theoretically re-lent in the banking system
 - d) The interest rate set by the central bank
11. The government agency that oversees the banking system and is responsible for the conduct of monetary policy in the United Kingdom is:
- A) Payment Systems Regulator (PSR)
 - B) Bank of England (BoE)
 - C) Prudential Regulation Authority (PRA)
 - D) Financial Conduct Authority (FCA)
12. Individuals that lend funds to a bank by opening a checking account are called:
- A) Policyholders
 - B) Partners
 - C) Depositors
 - D) Debt holders
13. The three players in the money supply process include:
- A) Banks, depositors, and firms
 - B) Banks, depositors, and borrowers
 - C) Banks, depositors, and the central bank
 - D) Banks, borrowers, and the central bank
14. Both _____ and _____ are central bank liabilities.
- A) Currency in circulation; reserves
 - B) Currency in circulation; securities
 - C) Securities; loans to financial institutions
 - D) Securities; reserves
15. The monetary liabilities of the central bank include:
- A) Securities and loans to financial institutions
 - B) Currency in circulation and reserves
 - C) Securities and reserves
 - D) Currency in circulation and loans to financial institutions
16. The monetary base consists of:
- A) Currency in circulation and deposits
 - B) Currency in circulation and loans
 - C) Currency in circulation and reserves
 - D) Reserves and deposits
17. The percentage of deposits that banks must hold in reserve is called the:
- A) Excess reserve ratio

- B) Required reserve ratio
- C) Total reserve ratio
- D) Currency ratio

18. If the required reserve ratio is equal to 10 percent, a single bank can increase its loans up to a maximum amount equal to:
- A) Its excess reserves
 - B) 10 times its excess reserves
 - C) 10 percent of its excess reserves
 - D) Its total reserves
19. If the required reserve ratio is 15 percent, the simple deposit multiplier is:
- A) 15.0
 - B) 1.5
 - C) 6.67
 - D) 3.33
20. Decisions by depositors to increase their holdings of _____, or of banks to hold _____ will result in a smaller expansion of deposits than the simple model predicts.
- A) Deposits; required reserves
 - B) Deposits; excess reserves
 - C) Currency; required reserves
 - D) Currency; excess reserves
21. Everything else held constant, an increase in currency holdings will cause:
- A) The money supply to rise
 - B) The money supply to remain constant
 - C) The money supply to fall
 - D) Checkable deposits to rise
22. Everything else held constant, a decrease in holdings of excess reserves will mean:
- A) A decrease in the money supply
 - B) An increase in the money supply
 - C) A decrease in checkable deposits
 - D) An increase in discount loans
23. In the model of the money supply process, the depositor's role in influencing the money supply is represented by:
- A) The currency holdings
 - B) The currency holdings and excess reserve
 - C) The currency holdings and borrowed reserves
 - D) The market interest rate
24. In the model of the money supply process, the bank's role in influencing the money supply process is represented by:
- A) The excess reserve
 - B) Both the excess reserve and the market interest rate
 - C) The currency ratio
 - D) Only borrowed reserves

25. The ratio that relates the change in the money supply to a given change in the monetary base is called:
- A) Money multiplier
 - B) Required reserve ratio
 - C) Deposit ratio
 - D) Discount rate